tangible lobbying or pressure in trying to influence the outcome. It is interesting to see that when the monetary policy transmission is weak, the stakes are even lower, as small changes in the policy rate have a negligible impact upon the economy. It is easier to establish independence of the central bank under conditions of a weak monetary policy transmission.

- *Low secrecy:* A sound central bank has essentially zero secrecy, so there is the full potency of analysis and criticism in the public domain, thus giving strong feedback loops from failure to improvement.

Hence, monetary policy is a relatively easy puzzle in state capacity building. A small elite is required that writes the rules of the game, that gets the country up to a modern central banking law. A small elite is required which mans the monetary policy committee. Central banks can be fairly small, lean organizations. The complexity of solving principal–agent problems in a large organization can be avoided.

In contrast, financial regulation is a difficult problem.

A lot of behaviour lies in the shades of grey; there is *discretion* for the investigator and the prosecutor in classifying a certain activity as a violation or not.

There are a large *number of transactions*; there are thousands of financial firms and there is a requirement for perhaps a thousand investigators and prosecutors in India.

The *stakes are sky high*. How regulations are drafted and enforced makes a difference of trillions of rupees in terms of the payoffs to private persons. Billionaires have a great incentive to reshape the working of financial regulation in their favour, and they will use every trick in the book in trying to impact on the policy process.

There is *a good deal of secrecy*. Supervision, investigations, enforcement and the quasi-judicial process of financial regulators is cloaked in a good deal of secrecy.